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Market Research Findings — Enterprise AI Search 2026

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This report summarises findings from a 200-company survey and 20 in-depth interviews targeting enterprise knowledge management buyers in the 500–5 000 employee segment. The total addressable market for AI-powered enterprise search is estimated at \$4.2B in 2026, growing at 38% CAGR. Security and data privacy are the top two purchase blockers.

1. Market Size & Growth

Segment	2026 TAM	CAGR (3yr)	NovaTech Fit
SMB (< 200 emp)	\$480M	29%	Starter/Growth
Mid-Market	\$1.6B	38%	Growth/Enterprise
Enterprise	\$2.1B	41%	Enterprise

2. Buying Criteria (Ranked)

- 1. Data security & privacy controls (cited by 84% of respondents).
- 2. Answer accuracy / hallucination rate (79%).
- 3. Integration with existing tools (Slack, Confluence, Google Drive) (71%).
- 4. Total cost of ownership (65%).
- 5. Vendor stability and support SLA (58%).

3. Purchase Blockers

The March 2026 wave of enterprise AI security incidents (including one publicly reported case involving an unnamed AI search vendor) has heightened security scrutiny. 67% of respondents now require SOC 2 Type II certification before procurement, up from 48% in the 2025 survey. NovaTech's SOC 2 audit is scheduled for Q3 2026.